
NEW ZEALAND

2007¹

1. Overview of the tax-benefit system

The provision of social security benefits in New Zealand is funded from general taxation and not specific social security contributions. Social security benefits for the unemployed are not funded from specific employee/employer contributions and there are no minimum working hours or earnings required in order for a person to be covered. All New Zealanders regardless of their employment history are covered by the benefits provided under the Social Security Act 1964. All benefits are payable without a fixed duration. In addition to the specific qualifying criteria for each benefit, provision is subject to a New Zealand residence requirement and personal income (joint income in the case of married, civil union and de facto couples).

Working for Families Tax Credits (Family Tax Credit, In-Work Tax Credit, Parental Tax Credit and Minimum Family Tax Credit) are available to families with dependent children. Minimum Family Tax Credit provides a guaranteed minimum family income to working non-beneficiary families².

The tax unit is the individual but eligibility for Working for Families Tax Credits is based on combined family income (children's income is not counted). The average annual taxable income of personal taxpayers for 2007 was NZD 30 010³.

1.1. Average worker wage (AW)

The 2007 AW level is NZD 43 022.

2. Unemployment insurance

There is no unemployment insurance.

3. Unemployment assistance

3.1 Conditions for receipt

A person is entitled to an Unemployment Benefit provided they are available and willing to undertake full time paid employment. A person must have resided in New Zealand continuously for at least two years and be at least 18 years old, or alternatively be at least 16 years old and married, in a civil union or de facto relationship, with one or more dependent children. They must not be in full time employment (defined as working 30 or more hours per week), but available for and taking reasonable steps to find suitable employment. These latter provisions are known as the "work test". Striking workers and full time students are not entitled to the Unemployment Benefit.

¹ Details of policies contained in this update are current as at 1 April 2007 unless otherwise stated.

² Working for Families Tax Credits are administered as transfer payments paid through the tax and benefit systems. They were renamed as "Working for Families Tax Credits" in 2007. See section 12.2 for details.

³ This data is based on a sample of individual taxpayers. It includes all those who filed a return (or received a personal tax summary) and all those from whom PAYE was deducted. It does not include non-filers unless they had PAYE-related earnings. It does include some people with losses, who hence have zero taxable income. The 2007 figure is subject to change as late returns are still being received.

A stand down period of between zero and two weeks is applied to new applicants. The length of stand down is determined by a formula which takes account of household structure and gross income in either the 6 or 12 months prior to the date of benefit entitlement, whichever results in the shorter stand down⁴.

3.1.1 *Employment conditions*

A non-entitlement period of 13 weeks applies to applicants for an Unemployment Benefit who left their employment without a good reason or lost their employment due to serious misconduct.

3.1.2 *Contribution conditions*

None.

3.2 **Calculation of benefit amount**

3.2.1 *Calculation of gross benefit*

Entitlement is based on the family, not the individual. Each partner of a married, civil union or de facto couple usually receives half of the total benefit but their benefit can be differently apportioned in some circumstances.

Unemployment Benefit rates as at 1 April 2007	
<i>Family type</i>	<i>Gross rate (NZD per four weeks)</i>
Single 18-19 at home	555.92
Single 18-19 away from home	699.92
Single 20-24	699.92
Single 25 and over	848.24
Sole parent	1238.92
Married, civil union or de facto couple (with or without children)	1399.84

3.2.2 *Income and earnings disregards*

Net Unemployment Benefit payments are abated at a rate of 70 cents for each dollar after NZD 80 gross weekly earnings before tax. The unit of income assessment is personal income for single people, or joint income for married, civil union and de facto couples.

3.3 **Tax treatment of benefit and interaction with other benefits**

Unemployment Benefit is taxable with each spouse receiving half of the benefit entitlement for taxation purposes.

3.4 **Benefit duration**

Unemployment Benefit is payable indefinitely.

⁴ This came into effect on 2 July 2007.

3.5 Treatment of particular groups

3.5.1 Young persons

There is no unemployment assistance for people under 18 years old, unless they are 16 or 17 years old and married, in a civil union or de facto relationship with one or more dependent children. Unemployed 16 and 17 year olds who have lost the support of their parents may be entitled to an Independent Youth Benefit.

3.5.2 Older workers

Clients aged 60 years or over may apply for an exemption from meeting their work test obligations (see section 3.1). These clients must still meet the other eligibility criteria for the Unemployment Benefit. Partners aged between 55-59 years may apply for an exemption from meeting their work test obligations if they have been subject to the work test for 6 months since turning 55 years old⁵.

Universal Superannuation is payable from age 65. There is no compulsory retirement age.

3.5.3 Others if applicable

There are a range of work test exemptions that can be applied. For example a client (or partner) serving a sentence of home detention can be exempted from the work test for this period.

Pregnant jobseekers may be exempt from their work test obligations from the day they provide proof of pregnancy from a health professional. Once the jobseeker is 27 weeks pregnant they can be transferred to the non-work tested Sickness Benefit.

A person who is sick, injured or disabled may be eligible to receive an Invalid's Benefit or a Sickness Benefit. These benefits are not work tested but partners may be subject to a work test depending on their circumstances.

Unemployed sole parents and caregivers may be entitled to a Domestic Purposes Benefit (see section 9).

4. Social assistance

None.

5. Housing benefits

5.1 Conditions for receipt

Accommodation Supplement provides assistance towards accommodation costs, including private rent, board and home ownership costs. A person does not have to be receiving a benefit to qualify for Accommodation Supplement.

5.2 Calculation of benefit amount

The calculation of the Accommodation Supplement is based on actual accommodation costs.

⁵ These provisions were removed with effect from 24 September 2007.

5.2.1 Calculation of benefit

Accommodation Supplement provides for 70 per cent of accommodation costs above the entry threshold, up to a maximum amount.

- The entry threshold is 25 per cent of a person's net rate of benefit (30 per cent if they own their own home) plus the first child rate of Family Tax Credit for people with children.
- For non-beneficiaries, the entry threshold is 25 per cent of the relevant Unemployment Benefit (30 per cent if they own their own home) plus the first child rate of Family Tax Credit for people with children.

Accommodation Supplement payments are capped according to median rents in different parts of the country. For example a greater maximum amount of Accommodation Supplement is available in Auckland, reflecting the higher accommodation costs in that city.

Accommodation Supplement weekly maxima as at 1 April 2007 (NZD)				
<i>Family type</i>	<i>Area 1</i>	<i>Area 2</i>	<i>Area 3</i>	<i>Area 4</i>
1 person	145	100	65	45
2 people	160	125	75	55
3 or more people	225	165	120	75

5.2.2 Income and earnings disregards

Beneficiaries do not have their Accommodation Supplement abated. Non-beneficiaries have their Accommodation Supplement reduced by 25 cents for each dollar of gross income above the relevant income threshold shown below.

Accommodation Supplement income thresholds for non-beneficiaries as at 1 April 2007	
<i>Family Type</i>	<i>NZD per four weeks</i>
Single 16-17 years	1340
Single 18 years and over	1340
Married, civil union or de facto couple	2020
Sole parent	1784

A cash assets test is also applied. Single beneficiaries without dependent children cannot receive an Accommodation Supplement if they have assets exceeding NZD 8 100. The asset limit for beneficiary couples and beneficiaries with dependent children is NZD 16 200.

Single non-beneficiaries have every NZD 100 of their cash assets over NZD 2 700 treated as NZD 1 per week income for Accommodation Supplement abatement purposes. Non-beneficiary couples and non-beneficiaries with dependent children have every NZD 100 of their cash assets over NZD 5 400 treated as NZD 1 per week income for abatement purposes.

5.3 Tax treatment of benefit and interaction with other benefits

Not taxable.

5.4 Treatment of particular groups

Tenants who live in a state house receive an Income Related Rent subsidy, and are not eligible for an Accommodation Supplement. People receiving an Income Related Rent subsidy pay 25 per cent of their net income in rent.

5.4.1 Young persons

Young people aged 16-17 years are not eligible to receive an Accommodation Supplement unless they are financially independent.

5.4.2 Older workers

People receiving New Zealand Superannuation or Veterans Pension cannot receive an Accommodation Supplement if they have other income exceeding the appropriate income limit.

5.4.3 Others if applicable

Generally students studying full-time cannot access Accommodation Supplement but may receive an Accommodation Benefit if they qualify for a Student Allowance.

6. Family benefits

6.1 Conditions for receipt

Family Tax Credit is available to families with dependent children.

- Beneficiary families are paid Family Tax Credit weekly or fortnightly with their benefit.
- Family Tax Credit is paid to non-beneficiary families by the Inland Revenue Department, either weekly or fortnightly, (with an end of year “square up”) or in one lump sum at the end of the tax year.

Non-beneficiary families may also be entitled to other Working for Families Tax Credits (see section 10.1.1.2 below).

6.2 Calculation of benefit amount

Family Tax Credit rates depend on the number of children, the age of the children and family income.

6.2.1 Calculation of gross benefit

Gross Family Tax Credit rates as at 1 April 2007 (NZD per four weeks)	
<i>Family Type</i>	<i>NZD per four weeks</i>
First or only child aged 0-15 years	328
First or only child aged 16-18 years	380
Second or subsequent child aged 0-	228

12 years	
Second or subsequent child aged 13-15 years	260
Second or subsequent child aged 16-18 years	340

6.2.2 *Income and earnings disregards*

Each dollar of gross income in excess of NZD 35 000 reduces Family Tax Credit by 20 cents.

6.3 **Tax treatment of benefit and interaction with other benefits**

Not taxable.

6.4 **Treatment of particular groups**

None.

6.4.1 *Young persons*

None.

6.4.2 *Older workers*

None.

6.4.3 *Others if applicable*

None.

7 **Childcare for preschool children**

7.1 **Out-of-pocket childcare fees paid by parents**

Government provides universal funding of between NZD 2.94 and NZD 10.54 per hour per child to assist with early childhood education fees. The payment is made by the Ministry of Education direct to the provider of the service.

Childcare Tax Rebate is available for some working parents, who can claim a maximum rebate of NZD 310 per year. The maximum rebate is available to families who paid NZD 940 or more for childcare.

7.2 **Childcare benefits**

7.2.1 *Conditions for receipt*

Childcare Subsidy is a non-taxable payment which assists low- and middle-income families to pay for their under five year old children (and some under six year olds) to attend licensed preschool facilities.

A person may be entitled to a Childcare Subsidy of up to 9 hours per week if they meet the income test. People who are in work related activities or undertaking training may access up to 50 hours Childcare Subsidy per week for the time they are engaged in those activities. The payment is made to the provider of the service on behalf of the parent.

7.2.2 Calculation of benefit amount

7.2.2.1 Calculation of gross benefit

The following table shows Childcare Subsidy income abatement thresholds and maximum rates from 1 April 2006.

Childcare Subsidy income abatement thresholds and rates as at 1 April 2007 (NZD)		
<i>Number of children</i>	<i>Gross weekly income</i>	<i>Childcare Subsidy (per hour)</i>
1	Less than 1 200.00	3.40
	1 200.00 to 1 299.99	2.36
	1 300 to 1 399.99	1.31
	1 400 or more	nil
2	Less than 1 380.00	3.40
	1 380.00 to 1 489.99	2.36
	1 490.00 to 1 599.99	1.31
	1 600.00 or more	nil
3 or more	Less than 1 540.00	3.40
	1 540.00 to 1 669.99	2.36
	1 670 to 1 799.99	1.31
	1 800.00 or more	nil

7.2.2.2 Income and earnings disregards

Benefits are reduced according to gross income (see section 7.2.2.1).

7.2.3 Tax treatment of benefit and interaction with other benefits

Not taxable.

7.2.4 Treatment of particular groups

None.

8. Employment-conditional benefits

In-Work Tax Credit, Minimum Family Tax Credit and Parental Tax Credit are available only to non-beneficiary families. In-Work Tax Credit and Minimum Family Tax Credit require the parent (or at least one parent in the case of couples) to meet an hours of work test (see section 10).

9. Lone-parent benefits

9.1 Conditions for receipt

Sole parents 18 years or older may qualify for Domestic Purposes Benefit if they are the primary carer for a qualifying dependent child.

There is no work test for the Domestic Purposes Benefit. Instead, Domestic Purposes Benefit recipients participate in a planning process that promotes goal setting for the time when their circumstances allow them to successfully combine parenting and work. While most sole parent beneficiaries receive a Domestic Purposes Benefit, other benefits (Unemployment, Sickness and Invalid's) can also be paid at a sole parent rate.

9.2 Calculation of benefit amount

9.2.1 Calculation of gross benefit

As at 1 April 2007 the weekly gross rate of the sole parent Domestic Purposes Benefit was NZD 309.73.

9.2.2 Income and earnings disregards

The net rate of Domestic Purposes Benefit is abated by 30 cents for each dollar of weekly earnings between NZD 80 and NZD 180. Earnings above NZD 180 per week abate the benefit by 70 cents for each dollar earned. The default is an annual income assessment, though the beneficiary may choose to have a weekly assessment.

9.3 Tax treatment of benefit and interaction with other benefits

The Domestic Purposes Benefit is taxable.

9.4 Benefit duration

Sole parents lose eligibility for Domestic Purposes Benefit when their youngest dependent child turns 18 or at the end of the secondary school year in which their youngest child turned 18.

9.5 Treatment of particular groups

9.5.1 Young persons

Some 16 and 17 year old sole parents may be eligible for Emergency Maintenance Allowance.

9.5.2 Older workers

None.

9.5.3 Others if applicable

None.

10. Tax system

10.1 Income tax

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

None.

10.1.1.2 Standard tax credits

The Low Income Rebate

The Low Income Rebate applies where income is under NZD 38 000. It is calculated at 4.5 cents in every dollar of income where income is under NZD 9 500. The maximum rebate of NZD 427.50 is reduced by 1.5 cents for every dollar over NZD 9 500 – thus the rebate runs out at NZD 38 000.

The Transitional Tax Allowance

The Transitional Tax Allowance is available to persons with income under NZD 9 880. This rebate is limited to those in full time employment or who would have been in full time employment but for sickness or accident. The maximum rebate is NZD 728, reduced by 20 cents for each dollar earned over NZD 6 241 – thus the rebate runs out at NZD 9 880.

Family Tax Credit

See section 6. Also see section 12.1 for the abatement regime that applies to Working for Families Tax Credits, including Family Tax Credit.

In-Work Tax Credit

In-Work Tax Credit replaces Child Tax Credit from 1 April 2006⁶. In-Work Tax Credit is available to non-beneficiary families who work a minimum number of hours each week.

- A sole parent qualifies if they work at least 20 hours per week.
- A two-parent family qualifies if the two parents work a combined 30 hours per week.

In-Work Tax Credit is up to NZD 60 week per for families with three children or fewer, increasing by NZD 15 for each additional child after the third. Eligibility for In-Work Tax Credit also depends on family income.

Families receiving the following government transfers can still qualify for In-Work Tax Credit, provided the family works the required hours:

- NZ Superannuation
- Veteran's pension
- a foster, orphan's or unsupported child's benefit
- accident compensation for incapacity after 1 January 2006, provided the person normally worked the required hours each week prior to their injury

⁶ Families can continue receiving Child Tax Credit if they are ineligible for In-Work Payment, until they start working the required hours for In-Work Payment, or until they no longer meet the criteria for Child Tax Credit.

- paid parental leave or Parental Tax Credit provided the family worked the required hours before taking leave due to the birth of a child.

Minimum Family Tax Credit

Minimum Family Tax Credit is available to working non-beneficiary families.

- A sole parent qualifies if they work at least 20 hours per week.
- A two-parent family qualifies if the two parents work a combined 30 hours per week.
- Self-employed people are not eligible.

Minimum Family Tax Credit ensures a minimum net income of NZD 347 per week (including ACC deduction, NZD 18 044 per annum) before Family Tax Credit and In-Work Tax Credit are included.

Parental Tax Credit

Families may be entitled to a Parental Tax Credit of NZD 150 per week for the first eight weeks after they have a new baby. They cannot receive a Parental Tax Credit if they are receiving Paid Parental Leave.

10.1.2 Income tax schedule

NZ income tax schedule	
<i>Gross taxable income as at 1 April 2007 (NZD per year)</i>	<i>Statutory tax rate (%)</i>
0-38 000	19.5
38 000-60 000	33
Above 60 000	39

10.1.3 State and local income taxes

New Zealand has no state or local income tax.

10.2 Treatment of family income

Family members are taxed as individuals.

10.3 Social security contribution schedule

New Zealand has no compulsory social security contributions to schemes operated within the government sector.

It should be noted that there is an accident compensation scheme administered by the Accident Compensation Corporation for residents and temporary visitors to New Zealand. This scheme is funded in part by premiums paid by employees and employers. Employees pay a premium of 1.3% of their gross earnings. Employers pay a premium depending on their total payroll and their assessed accident risk (the average rate is 0.9%).

10.4 Treatment of particular groups

10.4.1 Young persons

Children who are under the age of 15, or under the age of 18 and attending primary or secondary school, or who turned 18 in the preceding income year and are still at school, are eligible to receive a Child Tax Rebate.

Eligible children are allowed to earn income (less interest and dividends) up to NZD 2 340 per annum, tax-free.

10.4.2 Older workers

None.

10.4.3 Others if applicable

None.

11. Part-time work

11.1 Benefit rules for part-time work

People must be working less than an average of 30 hours per week to be eligible for Unemployment Benefit.

11.2 Special tax and social security contribution rules for part-time work

None.

12. Policy developments

12.1 Policy changes introduced during 2006

From 1 April 2006:

- In-Work Tax Credit was introduced, replacing Child Tax Credit (see section 10).
- The income threshold applicable to Family Tax Credit, In-Work Tax Credit and Parental Tax Credit was increased from NZD 20 356 to NZD 35 000. A two threshold abatement regime was replaced by a one threshold regime. The new regime reduces the amount of the credits by 20 cents for each dollar in excess of NZD 35 000.

12.2 Policy changes introduced during 2007

From 1 April 2007 same sex de facto couples are treated in the same way as married, civil union and opposite sex de facto couples for the purpose of assessing entitlement to financial assistance

From 30 April 2007:

- the Transition to Work Grant replaced the Work Start Grant
- the Course Participation Assistance Programme was introduced.

From 2 July 2007:

- people may qualify for Domestic Purposes Benefit by caring for a dependant child who is not their own if that child's parents are unable or (in exceptional circumstances) unwilling to support the child.
- the income stand down period for benefits is reduced from a maximum of ten weeks to a maximum of two weeks for all benefits subject to a stand down
- the length of time people have to have been resident in New Zealand before they are eligible for a benefit is standardised to two years for all benefits

From 1 July 2007 Free Early Childhood Education (ECE) was introduced, enabling three and four year old children attending a teacher-led ECE service to access up to 20 hours of Free ECE per week. Free ECE funding is intended to cover the average cost of meeting the regulated requirements for ECE provision. Some providers may choose to offer additional features above and beyond the regulations. Parents may be requested to pay an additional charge if they wish to purchase these additional features. Free ECE funding is paid directly to ECE providers who have opted into the scheme.

From 24 September 2007:

- age-based work test exemptions were removed for the Unemployment Benefit
- people on Sickness Benefit and Invalid's Benefit will be invited to develop Personal Development and Employment Plans unless they suffer from severe disability or sickness.
- all benefits payable to a sole parent can continue for 8 weeks after the beneficiary stops caring for the child because of a change in circumstances beyond their control.

Annex: Transition to Work Grant

The Transition to Work Grant aims to assist people on benefits and students to enter the workforce, and to help low-income earners retain their independence from main benefit income support. It provides flexible financial assistance to meet the additional costs of entering employment for:

- people on benefits (including people on stand-down for benefit)
- students
- people on low incomes who face small gaps between jobs (up to four weeks) or who are re-entering the workforce, such as a parent returning to the workforce after a period of stay-at-home care, or a released prisoner moving into employment.

Qualifications

To receive Transition to Work Grant the client must have an essential cost because of their job search, job interview or job offer and:

- generally be aged 18 years or more
- meet an income and asset test
- be a New Zealand citizen or permanent resident (ie not be in New Zealand unlawfully or here on a temporary permit)
- generally be ordinarily resident in New Zealand
- be a client whose principal income is a main benefit **or**
- be a student who is enrolled with Work and Income as a Job Seeker or registered with Student Job Search **or**
- be a non-beneficiary who meets the qualifications and is moving into work or facing a short gap between jobs (less than 4 weeks).

In addition the client must:

- be seeking paid work for a position of 30 hours or more per week
- have a verified job interview for a position of 30 hours or more per week **or**
- to receive placement or bridging costs, have a verified job offer of 30 hours or more per week (excluding self employment).

Transition to Work Grant may be paid to people seeking work or working less than 30 hours per week for job placement and job seeking costs where it is reasonable and appropriate. For example it would generally be appropriate for sole parents who regularly work 20 hours or more per week, or who are seeking employment for 20 hours or more each week to access Transition to Work Grant.

Payment

The maximum amount payable for Transition to Work Grant must not exceed NZD 1 500 in a 52-week period. This amount may be made up of:

- job-seeking assistance (to a maximum of NZD 300 within a 52 week period unless exceptional circumstances exist) to help with essential costs involved in seeking paid employment and attending interviews

- job-placement assistance to help with the essential costs of moving into paid employment such as clothing required for work
- bridging finance (to a maximum of NZD 250 per week for 2 weeks at a time) for people on a benefit, students who are moving into full-time paid employment, people who meet qualifying criteria and face small gaps between jobs (less than 4 weeks) or who are returning to the workforce.
- Below are the income limits for Transition to Work Grants at 30 April 2007.

Category	Gross weekly income limit
Single, 16 - 17 years	\$407.75
Single, 18+ years	\$468.64
Married, civil union or de facto couple (with or without children)	\$680.66
Sole parent, 1 child	\$568.66
Sole parent, 2+ children	\$599.11